GONO CHIRANDU FARMS (PVT) LIMITED

Versus

PEOPLE'S OWN SAVINGS BANK

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
CHILIMBE J
HARARE 8 July 2025 & 10 February 2026

Trial cause-exception

I. Chikaka - for the plaintiff
G. Sithole -for the defendant (the excipient)

CHILIMBE J

INTRODUCTION

[1] This dispute raises once again, the reminder that a fully functional domestic currency capable of holding its own against others is an absolute must[1]. Similarly, the case of a continental payment platform for the settlement of regional and international trades using such domestic currencies becomes equally compelling[2].

[2] With those remarks, I turn to the interlocutory application before me. The herein defendant bankers ("POSB") raised an exception against their customer -plaintiff ("Gono Chirandu") `s claim filed on 15 May 2024 in HCHC 334/23 framed as follows; -

> "Damages arising out of Defendant's breach of a banker customer contract and breach of its fiduciary duties and duty of care in failing to timeously submit Plaintiff's bid to the RBZ foreign currency auction for US$126,189.00 leading to a

[1] See *FBC Holdings Limited v Zimbabwe Nantong International (Pvt) Ltd & Anor* HH 369-24 at page 30, paragraphs 93 and 94
[2] Such the African Union and AfCFTA supported Pan African Payment Settlement Systems (PAPSS) see https://www.afriwise.com/blog/pan-african-payment-and-settlement-system-launch-a-new-dawn-for-cross-border-financial-transactions-in-africa

loss of Plaintiff's funds which had been unlawfully blocked by Defendant for three months after failing to auction the bid."

[3] POSB`s exception issued from the view that Gono Chirandu` s claim was based on the diminution of the funds surrendered by Gono Chirandu to its bankers. In that regard, it offended the legal principle of currency nominalism. As such, the summons did not constitute a valid cause of action at law. I refer to POSB`s own pleadings on the point[3]; -

> **"**The Plaintiff's amended Summons and Declaration do not disclose a cause of action in that the Plaintiff's claim is in fact and in effect premised on **the erosion of the value of the Plaintiff's ZWL amount, which it deposited with the Defendant**, due to inflation. No cause of action can be founded on inflation, the exchange rate or loss of value of money. The Plaintiff's claim is therefore, bad at law." [Underlined and marked in bold for emphasis as discussed shortly hereunder]

BACKGROUND TO THE MAIN DISPUTE

[4] Gono Chirandu is an entity registered in terms of Zimbabwean law. POSB is a financial institution established by s 3 of the People's Own Savings Bank Act [Chapter 24:22] and regulated by the Banking Act [Chapter 24:20] among other statutes. It is common cause that the two parties enjoyed a banker-customer relationship[4].

[5] As a financial institution, POSB offers to the public, various banking and financial products and services. These included, at the material time, submitting bids to the Reserve Bank of Zimbabwe under its for Wholesale Foreign Exchange Auction System ("auction system") to procure foreign currency-especially United States Dollars ("US dollars") for customers. The auction system was an online facility in respect of which successful bids required adequate funding in local currency ZWL to cover the bid amount.

[6] It is not necessary, for purposes of this exception, to delve into the deeper operational modalities of the auction system. It was not in dispute that in November of 2023, Gono Chirandu instructed POSB, under an oral contract, to purchase the sum of US$126,189.00 on

[3] Paragraph 15.1 of the plea at record page 30.
[4] Paragraph 3 of the declaration at page 98, and paragraph 3 of the plea, at page 28.

the auction scheduled for 12 December 2023. The funds were meant to fund importation of machinery required for Gono Chirandu`s farming operations. Gono Chirandu averred that it had sufficient ZWL to procure the US dollars required at a rate of ZWL$6,435,53 to the dollar. It was Gono Chirandu` s claim that despite its account being adequately funded, POSB failed to secure the foreign currency.

[7] Thus alleged Gono Chirandu that POSB breached the terms of the oral banker-creditor contract. It wrongfully and unlawfully (a) failed to submit the bid timeously, (b) misrepresented that the bid had been successful and (c) declined to release the deposited funds despite instructions to that effect and (d) only managed to procure US$42,628,51 at a rate of ZWL 19,332,40 to the dollar resulting in a shortfall of US$83,560,49.

[8] POSB filed a detailed plea to the claim on the merits. It threaded a tale that robustly refuted the terms of the oral agreement, allegations of breach, negligence and unlawfulness as well as circumstances of the performance of the oral contract. It also raised issue with the mechanics of the auction system.

[9] POSB further alleged in the same plea that the bid was not processed on account of the Gono Chirandu` s failure to adequately fund the bid account. On 8 December 2023, Gono Chirandu according to POSB, apparently resubmitted its bid for the auction scheduled for 13 December 2023, but again failed to adequately fund its account to purchase US$126,189.00 required.

[10] POSB insisted that it communicated with, and properly advised Gono Chirandu at all times during the transaction`s period. In particular, POSB averred that it informed Gono Chirandu to fund its account to the tune of ZWL810 051 609.53 plus a 1% charge of ZWL8 100 516.10 (totalling ZWL818 152 122.63) based on the official US$/ZWL exchange rate of ZWL6 419.3520 as at 8 December 2023.

[11] According to POSB, Gono Chirandu disregarded this advice and thus missed the cut-off date of 8 December 2023.It however proceeded to make intermittent deposits, the last being on 11 December 2023 at 11:57 hours, well-after cut-off. Given these belated payments, the

bid for the 12 December 2023 auction not be timeously processed for want of adequate funding.

[12] In any event, continued POSB in its plea, as at 12 December 2023 the RBZ did not settle any successful bids. Thus Gono Chirandu' s bid may not have been assured of success even it had been properly funded. Turning to its alleged refusal-despite instruction- to release the ZWL earlier deposited to fund the bid, POSB gave the following account.

[13] It was not correct that Gono Chirandu requested a release of the funds. What transpired was, according to POSB, is that Gono Chirandu asked POSB to retain the funds possibly in the hope of salvaging a belated payment from the auction system. The instructions were only uplifted on 19 May 2024, so alleged POSB in its plea.

[14] POSB also denied ever rendering inaccurate advice to Gono Chirandu. The client was instead, kept updated on the prevailing uncertainty surrounding future auctions. Following the promulgation of SI 60 of 2024[5], the RBZ issued Operational Guidelines in the Monetary Policy Statement of 5 April 2024 providing that outstanding auction claims, including those from 12 December 2023, would be settled in ZiG currency over a period of two years. The plaintiff's failed bid was therefore overtaken by events.

THE FIRST EXCEPTION

[15] The current judgment in fact concerns a second exception filed in this matter. This first exception was mounted on 31 May 2024 on the following grounds; -

1. That the Summons and Declaration do not disclose a cause of action
2. That the Plaintiff's claim is vague and embarrassing
3. There is a material non-joinder of Reserve Bank of Zimbabwe, and.
4. That the Declaration is not signed and dated by the Plaintiff and/or the Plaintiff's Legal Practitioners

[16] The last two grounds were abandoned with POSB persisting with the first two. I heard argument and rendered an *ex-tempore* judgment upholding the exception. In particular, I noted that Gono Chirandu could have pleaded its causa with greater clarity. Especially on

[5] The Presidential Powers (Temporary Measures) (Zimbabwe Gold Notes and Coins) Regulations, SI 60 of 2024 which formed part of measures to reassert the local currency and cessation/suspension of the auction system.

whether its claim lay in contract or delict. I was not persuaded however, by the excipient`s arguments that the claim lacked a valid causa because it offended the principle of currency nominalism. On 29 November 2024, I ordered that; -

> "The matter be and is hereby removed from the roll and plaintiff is granted leave to amend its summons and declaration, if so advised, within 10 days of today's date"

[17] Gono Chirandu filed its amended summons and declaration on 9 December 2024. It made minor changes to its summons and declaration and firmly premised its claim as one for damages for breach of contract. This amendment did not assuage POSB who, on 19 December 2024, filed another exception. This time the objection was embedded in the plea on the merits set out in paragraphs *[7]* to *[14]* above. I refer to the special plea in paragraphs 15.1 to 15.7;

> "15. Defendant pleads that:
>
> 15.1 The Plaintiff's amended Summons and Declaration do not disclose a cause of action in that the Plaintiff's claim is in fact and in effect premised on the erosion of the value of the Plaintiff's ZWL amount, which it deposited with the Defendant, due to inflation. No cause of action can be founded on inflation, the exchange rate or loss of value of money. The Plaintiff's claim is therefore, bad at law.
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> 15.2 It did not unilaterally defer the submission of Plaintiff's bid amount on the Auction system. To the contrary, at all material times, the Plaintiff's bid did not meet the material requirements for submission to the RBZ as its account was not adequately funded.
>
> 15.3 The Defendant did not block Plaintiff's bid amount and bank account without notice, instruction or explanation for three months. To the contrary, the Defendant continued to hold the Plaintiff's funds in its account at the specific instructions of the Plaintiff which instructions were only withdrawn on 19 May 2024.
>
> 15.4 At all material times therefore, the Plaintiff's ZWL amount was available to it upon request to the Defendant.
>
> 15.5 On several occasions, Plaintiff was advised of the uncertainty on the conduct of future foreign currency auctions by the RBZ but it instructed the Defendant to keep the amount in speculation of the future auctions which then never came.

> 15.6 Even if the Plaintiff`s bid had been successful, the Plaintiff could not possibly have been allocated the USD amount applied for following the suspension of the auction system by the RBZ.
>
> 15.7 Resultantly, Defendant denies that it is liable to the Plaintiff for breach of contract and/or damages at all and puts Plaintiff to the strict proof thereof."

THE SECOND EXCEPTION

[18] This is the exception that I must now dispose of, and I do not intend to stretch the exercise. Principally because most of the issues raised in argument were addressed in the ruling on the initial exception. I will, nonetheless, retrace the principles given that the ruling was as noted earlier, delivered *ex tempore*.

[19] Secondly, the gist of the exception is that once again, the amended summons and declaration violate the legal concept on currency nominalism. This being a matter which I again, largely dealt with in the self-same *ex-tempore* ruling. Lastly, I will take the opportunity to address the very essence of the exception itself and in the process, correct a procedural anomaly overlooked by both the parties and the court at the time of argument.

PRINCIPLES GOVERNING EXCEPTIONS.

[20] Rule 12 (1) of the High Court (Commercial Division) Rules SI 123 of 2020 ("the Commercial Court Rules") allows a defendant to file an exception as part of its answer to a plaintiff`s claim. By r 4 (2), the Commercial Court Rules refer to the High Court Rules SI 202 of 2021 in the following terms; -

> (2) To the extent that any procedural matter arises during any proceedings before the court, which matter is not specifically regulated or provided for under these rules, then in such event the High Court Rules, 2021 (hereinafter referred to as "the High Court Rules") shall apply mutatis mutandis).

[21] The High Court Rules detail how a defendant shall take an exception to a plaintiff`s summons and declaration. Rule 42 (1) sets out the procedure and basis of taking an exception and states thus; -

> 42. Exceptions, special pleas, applications to strike out and applications for particulars

> (1) **As an alternative to pleading to the merits**, a party may within the period allowed for filing any subsequent pleading—
> (*a*) take a plea in bar or in abatement where the matter is one of substance which does not involve going into the merits of the case and which, if allowed, will dispose of the case;
>
> (*b*) **except to the pleading or to single paragraphs thereof** if they embody separate causes of action or defence as the case may be **where the pleading is vague and embarrassing** or **lacks averments which are necessary to sustain an action or defence**, as the case may be;

[22] The above provision in the rules accords with and must be read against the basic purpose of an exception. The procedure is meant to extricate a hapless defendant from (a) drafting so incurably poor that it suffocates all sense and embarrasses any attempt to answer it and or (b) a claim that has no basis whatsoever at law and thus generates no controversy warranting the court`s attention.

[23] These principles are endorsed by the authorities on the subject such as *City of Harare* v *D and P Investments (Pvt) Ltd and Anor* 1992 (2) ZLR 254; *Murahwi* v *Pam Golding Properties Zimbabwe* HH 723-22 at pages 3-4, paragraph 8; and the authors Cilliers, Loots, and Nel, in Herbstein & Van Winsen, *The Civil Practice of the High Courts of South Africa*, 5th ed, Vol. (2009) who at page 631, define an exception as follows:

> "An exception is a pleading in which a party states his objection to the contents of a pleading of the opposite party on the grounds that the contents are vague and embarrassing or lack averments which are necessary to sustain the specific cause of action or the specific defence relied upon."

And further on the same page; -

> "The taking of an exception is a procedure which is interposed before the delivery of a plea on the merits by a defendant or before the delivery of a replication or the joinder of issue by a plaintiff. It is designed to dispose of pleadings which are so vague and embarrassing that an intelligible cause of action or defence cannot be ascertained or to determine such issues between the parties as can be adjudicated upon without the leading of evidence.

> The aim of the exception procedure is thus to avoid the leading of unnecessary evidence and to dispose of a case in whole or in part in an expeditious and cost-effective manner. Thus, pleadings whose contents are so vague that it is impossible to determine the nature of the claim or the defence and pleadings which are bad in law in that their contents do not support a discernible and legally recognised cause of action or defence are struck out."

[24] Viewed from a different perspective, an exception enforces the essence of pleadings and in particular, requirements of a valid summons[6].It must be crafted with clarity, concision and consistent with the legal principles upon which the causa and relief are founded. (See *Newmarch v Puzey & Diss Motors Ltd* 1958 (1) SA 393 (SR); *Chifamba v Mutasa & 2 Ors* HH 16-08 and *Chido Matewa v ZETDC* HH 304-13.

[25] Further, in order for it to attain intended purpose and function, an exception is subject to a number of considerations. The test concerned leans more toward attempts at salvage rather than the alacrity to jettison. See the dicta in the following two decisions; -

> *McKelvey* v *Cowan N.O* 1980 (4) SA 525 (Z)
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> "It is a first principle in dealing with matters of exception that if evidence can be led which can disclose a cause of action alleged in the pleading, that particular pleading is only excipiable on the basis that no possible evidence led on the pleading can disclose a cause of action. That is the manner in which I approach this case
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> *Pete's Warehousing and Sales CC v Bowsink Investments CC* 2000 (3) SA 833 at 834H;-
>
> "The test to be applied in determining an exception is as follows: The excipient has the duty to persuade the court that upon every interpretation which the pleading in question, and in particular any document on which it is based, could bear no cause of action or defence, failing this, the exception had to be dismissed."

[6] Rule 8 of the Commercial Court Rules, as read with Rule 12 (5) of the High Court Rules require a summons to set forth - a true and concise statement of the nature, extent and grounds of the cause of action and of the relief or remedies sought in the action.

ARGUMENTS ON THE SECOND EXCEPTION

[26] Quite clearly, the exception that I am now required to rule on was not filed in terms of the rules. It was preceded and succeeded by a plea on the merits. If we consider paragraph 15 of POSB`s plea to embody the said exception, again it becomes tainted because the subparagraphs relate to the merits rather than the causa as required by r 42 (1) (b) of the High Court Rules as read with r 4 (2) of the Commercial Court Rules.

[27] With neither an explanation nor condonation tendered for this unusual approach, I would have ended matters here by dismissing the "exception". But given that I indulged the parties in argument, I will address their arguments as points of law placed for resolution.

[28] Mr *Sithole* for POSB, repeated the arguments raised in the first exception. His main quarrel with the summons and declaration was that they founded a causa which violated our law on nominalism. He cited the very same authorities earlier relied on including the instructive treatise on the point by KUDYA JA in *Falcon Gold Zimbabwe (Pvt) Ltd v The Taxing Officer & Anor* SC 25-24 who articulated nominalism as follows at pages 8-10; -

> "CURRENCY NOMINALISM
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> [12] The concept of currency nominalism was adverted to by the then South African Appellate Division in *SA Eagle Insurance Co Ltd v Hartley* 1990 (4) SA 833 (A*)*, where it was dealing with the computation of loss of earnings lost by the respondent between the date of the delict [5 February 1983] and the trial [1 October 1988]. The principle relates to the loss of purchasing power of money or currency over time due to inflation and its effect on the numerical value of the monetary loss, that is, whether the principle entitles the affected party to be awarded an upward adjustment equivalent to the loss of the buying power. EM GROSSKOPF JA at 839G - 840C stated that:
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> "This result seems to me to be in conflict with the principle of nominalism of currency which underlies all aspects of South African law, including the law of obligations. Its essence, in the field of obligations, is that a debt sounding in money has to be paid in terms of its nominal value irrespective of any fluctuations in the purchasing power of currency. This places the risk of a depreciation of the currency on the creditor and saddles the debtor with the risk of an appreciation. See Farlam and Hathaway *Contract: Cases, Material and* H *Commentary* 3rd ed at 719 note 2; H J Delport 'Inflation and South African Law' (1982) 4 *Modern Business Law* 115 and A Spandau 'Inflation and the Law' 1975 *SALJ* 31.
>
> Nominalism is the norm in the common law of Western States with similar systems to our own. Thus, in *Deutsche Bank Filiale Nürnberg v Humphrey* (1926) 272 US 517 at 519 the United States Supreme Court said:

'An obligation in terms of the currency of a country takes the risk of currency fluctuations and creditor or debtor profits by the change the law takes no account of it.... Obviously, in fact a dollar or a mark may have different values at different times, but to the law that established it, it is always the same. If the debt had been due here and the value of dollars had dropped before suit was brought the J plaintiff could recover no more dollars on that account.'

The same applies in England. In *Treseder-Griffin and Another v Co-operative Insurance Society Ltd* [1956] 2 QB 127 (CA) at 144 DENNING LJ said the following: "... (I)n England we have always looked upon a pound as a pound, whatever its international value. We have dealt in pounds for more than a thousand years - long before there were gold coins or paper notes. In all our dealings we have disregarded alike the debasement of the currency by kings and rulers or the depreciation of it by the march of time or events. .....Creditors and debtors have arranged for payment in our sterling currency in the sure knowledge that the sum they fix will be upheld by the law. A man who stipulates for a pound must take a pound when payment is made, whatever the pound is worth at that time. Sterling is the constant unit of value by which in the eye of the law everything is measured. Prices of commodities may go up or down, other currencies may go up and down, but sterling remains the same."

At 839F the learned judge of appeal articulated the reason why currency nominalism is firmly entrenched in most legal system thus;

"…it would represent a revolutionary transformation of our legal system if courts were to be called upon to determine the true economic value (in terms of purchasing power) of all obligations sounding in money."

Lastly, the learned judge of appeal emphasized at 841E-F that the principle does not however apply to the assessment of general damages and pertinently pronounced that: "A monetary debt… has to be paid according to its nominal value."

[13] The principle of nominalism has been adopted in this jurisdiction in *Mbundire v Buttress* 2011 (1) ZLR 501 (S) at 512E, where GARWE JA stated that: "It is now established, certainly in South Africa, that a monetary debt has to be paid according to its nominal value and, to take into account inflation, interest is then added on that debt until payment is made in full."

See also *Muzeya NO* v *Marais & Anor* 2004 (1) ZLR 326 (H), *Komichi v Tanne&Anor*2005 (2) ZLR 358 (H), *Marume & Anor v Muranganwa* HH 27/07 and *Madzongo v Besent* HH 33/2009."

[29] Mr *Sithole* argued-as he had in the first exception- that despite the amendments, it remained unclear whether Gono Chirandu`s cause of action was founded in delict or contract. He submitted that the most contentious aspects of the declaration were paragraphs 9 and 10, which were premised on the assertion that, due to POSB`s conduct in retaining the

customer's local currency for a period of three months, Gono Chirandu suffered a loss of purchasing power.

[30] Counsel reiterated that a claim based on the erosion of purchasing power of local currency is not recognised in law and is contrary to public policy. He contended that the devaluation of the local currency was a consequence of inflation, and given the prevailing hyperinflationary economic climate, the plaintiff could not prosecute a claim premised on the loss of value attributable to inflation.

[31] Mr *Sithole* submitted that, from the face of the summons, the complaint appeared to be that POSB unlawfully blocked the plaintiff's funds, with reference made to page 72 of the record. He pointed out that in paragraph 8 of the declaration, Gono Chirandu alleged that POSB misled it. He argued, however, that the claim concerned local currency which the Gono Chirandu did not in fact lose.

[32] Since the bid was not submitted, Gono Chirandu recovered all its local currency, and therefore no loss was suffered. According to counsel, Gono Chirandu could not "mutate" the currency into another form so as to found a cause of action.

[33] In response, Mr *Chikaka*, counsel for the Gono Chirandu, submitted that POSB had improperly waded into the merits of the matter. Theirs was, according to Mr *Chikaka*, an attempt to answer the claim rather than attack the summons and declaration of the face of it. Proceeding, Mr *Chikaka* submitted that a "cause of action" referred to the material facts which, if established, entitle a party to relief. A pleading disclosed no cause of action only where essential facts were missing. He argued that such was not the case here in casu.

[34] Counsel further argued that reference to inflation in the declaration did not automatically invalidate the claim. Inflation was merely a component of the damages claimed. Counsel further argued that the principle of currency nominalism applied only where a party sought revaluation to restore purchasing power lost through currency depreciation. Gono Chirandu was not seeking such revaluation.

[35] Evidence would show that the parties did not contemplate that the bid amount would be held by the bank, but rather that the RBZ exchange rate would fluctuate within a commonly

understood hyperinflationary commercial environment in Zimbabwe. The parties understood that obtaining foreign currency earlier increased the likelihood of preserving value for the purchase of farming equipment abroad.

[36] Mr *Chikaka* submitted that it was clear from the pleadings that Gono Chirandu`s cause of action was contractual. The initial agreement, according to counsel, was aimed at securing a specific value in foreign currency, which value Gono Chirandu failed to obtain due to the defendant's conduct. The special damages claimed reflected the value as at the time of the transaction, and damages law seeks to place the innocent party in the position it would have been but for the breach.

ANALYSIS OF THE ARGUMENTS

[37] I quote the claim as set out in the summons once again hereunder; -

> "Damages arising out of Defendant's breach of a banker customer contract and breach of its fiduciary duties and duty of care in failing to timeously submit Plaintiff's bid to the RBZ foreign currency auction for US$126,189.00 leading to a loss of Plaintiff's funds which had been unlawfully blocked by Defendant for three months after failing to auction the bid."

[38] It cannot be disputed that the summons clearly outlines the basis of the claim. The impugned paragraphs in the declaration dealing with inflation were not in conflict with the basis of the claim. The worth of those averments would be a matter of evidence at trial. But on the face of the summons, it cannot be disputed that Gono Chirandu alleged breach by POSB, of a banker-customer contract. It seeks compensation from such breach. The point at this stage, is not to establish the veracity of the claim. That is the duty of the trial court.

[39] Herein, the task is to ascertain if Gono Chirandu as plaintiff pleaded a discernible causa at law per *Peebles v Dairibord Zimbabwe (Pvt) Ltd* 1999 (1) ZLR 41 (H) and similar authorities. If it is agreed that the claim emanates from a banker customer contract, the next issue to note are the peculiarities of such contract. In the English case of *Midland Bank Limited v Reckitt* [1968] 1 W.L.R 1555, the banker-customer relationship was described as follows at 1608; -

> "…a bank has a duty under its contract with its customer to exercise "reasonable care and skill" in carrying out its part with regard to operations within its contract with its customer. The standard of that reasonable care and skill is an objective standard applicable to bankers. Whether or not it has been attained in any particular case has to be decided in the light of all relevant facts, which can vary almost infinitely." [emphasis added].

[40] Gono Chirandu has been clear in its summons and declaration; - POSB breached the above standard. So too has POSB been adamant that its advice and handling of customer instructions were free from blemish. The terms of the oral contract were in contention. They were not subject of the exception as indeed they could not properly have been so raised in such matter.

[41] These contestations pointed more toward to one thing- the trial court`s evidentiary considerations on the merits. Herein, the intention is to establish if, per, Gono Chirandu established a cause of action. In *Magic Software Enterprises Limited v Nedbank Zimbabwe Limited* SC 47-24, the Supreme Court was confronted with a dispute (albeit a decratur) steeped in similar circumstances. At pages 11-12 in paragraph 38, UCHENA JA observed as follows; -

> "[38] In *casu* the Court *a quo* commenting on the evidence led to prove the right the appellant sought to be declared said:
>
> "[52]. In addressing that issue, I start by reverting, for the last time, to Mr *Mpofu*'s submission quoted in paragraph [31] above. Counsel attacked Magic Software's cause of action- as well as manner in which such was pleaded- in a number of ways. **To begin with, counsel argued that although the claim was based in contract, the terms thereof were not placed before the court.**
>
> [53] **I agree with counsel that the contractual details were not furnished. In that respect, it was impossible to ascertain the parties` rights and obligations, especially given the claim and its contestation. The banker-client mandate and duty buttressing the claim was not be *(sic)* established beyond the common cause. What exactly were the banking arrangements agreed upon in setting up the escrow account? Was it a retention of funds arrangement only, or a retention and remit offshore? As matters stand, there are seriously contested issues.**

> **[54] Nedbank avers that Magic Software ought to have obtained exchange control approval before opening the escrow account. Magic Software retorts that Nedbank rendered incompetent advice on that aspect, in addition to failing to submit the appeal to Exchange Control timeously. How then are these counter-accusations to be resolved in the absence of a reference point to ascertain each party`s obligations? Importantly, were the parties *ad idem* in the first instance?**
>
> **[55] These questions bring to the fore, considerations on the parties` respective duty of care and that duty could only have emanated from their contract. Contract forms the mainstay of the banker-customer relationship is contract.** This was the view taken by Professor Lovemore Madhuku writing many years ago, in the *Zimbabwe Law Review* where the learned author stated that:
>
> 'The banker-customer relationship is largely a matter of contract. Although there are other special contracts which arise in specific transactions, the main contract is that of debtor and creditor.'" (Emphasis added)"

[42] Gono Chirandu pleaded a causa founded in contract. And a contract within the realm of a banker-customer relationship. The relationship concerned, the details thereof, as correctly submitted by Mr *Chikaka*, were a matter of evidence. The fact that inflation featured as a component of the damages indicated in the summons does not automatically convert the matter into a currency nominalism dispute. At least, such conclusion is not eminent from the exception that has been moved by POSB.

ON CURRENCY NOMINALISM

[43] Indeed as correctly endorsed by KUDYA JA in *Falcon Gold*, the principle of currency nominalism is firmly entrenched in our law. The question, as always, is application of the principle to the facts. I am not certain that counsel for POSB did sufficient justice to the subject. Especially in view of the detailed considerations one may need to examine alongside currency nominalism.

[44] In passing, I may refer to the principle of revalorization which oft accompanies reflections on nominalism. (See *Marume & Anor v Muranganwa* HH 27-07, *Tribac (Pvt) Ltd v Taruona & Anor* SC 118-22, *SA Eagle Insurance Co v Hartley* 1990 (4) SA 833 and *Eden and Another v Pienaar* 2001 (1) SA 158 (W) 2001.

[45] Currency nominalism and at times revalorization are applied in the determination of liability as well as assessment of quantum. For damages claims issuing from both delictual and contract. As such, in Eden v Pienaar, (supra) CLOETE J referred with approval to the learned authors Dicey and Morris[7] and held thus at pages 165-166; -

> "The principle of nominalism has this effect, as stated by *Dicey and Morris (op cit* Rule 204 at 1550 - 1):
>
> '(1) A debt expressed in the currency of any country involves an obligation to pay the nominal amount of the debt in whatever is legal tender at the time of payment according to the law of the country in whose currency the debt is expressed (*lex monetae*), irrespective of any fluctuations which may have occurred in the value of that currency in terms of sterling or any other currency, of gold, or of any commodities between the time when the debt was incurred and the time of payment (principle of nominalism).
>
> (2) If damages are to be calculated in terms of a given currency, any fluctuations in the value of that currency which may have occurred after the event giving rise to the claim for damages (breach of contract, tort) must be disregarded."

DISPOSITION

[46] These observations buttress the earlier conclusion that the matters argued before me on behalf of the excipient were better suited for the trial court. The fact being that currency nominalism must be preceded by the correct articulation of the nature of a claim before the court. I refer to a comment in the dissenting judgment of HARM JA in *Standard Chartered Bank of Canada v Nedperm Bank Ltd* 1994 (4) SA 747 (A) at 782 G where the court noted that; -

> "(3) There is a clear distinction between Aquilian relief and restitutio in integrum (cf Zimmermann "The Law of Obligations" at 680). The underlying principles of the

[7] Dicey and Morris in *The Conflict of Laws* 12th ed (1993)

one cannot simply be engrafted upon the other (as was done in *Makwindi Oil* (supra at 199D)).”[8]

[47] Gono Chirandu seeks to recover the foreign currency value it would, on the probabilities, have obtained had. Whether Gono Chirandu will ultimately succeed in proving, on a balance of probabilities, that its bid would have been successful or that the loss claimed was reasonably foreseeable is a matter reserved for trial. Disputes concerning the quantification or proof of damages do not provide a foundation for an exception.

[48] The protest mounted against the summons is not sustainable. So too is the rather half-hearted attempt by Gono Chirandu`s counsel at securing punitive costs not supportable on the facts before me as read as against authorities on costs. As such it will be ordered that; -

1. Defendant`s exception be and is hereby dismissed with costs.

Kantor and Immerman-excipient`s legal practitioners
Mushoriwa Moyo-plaintiff’s legal practitioners

[CHILIMBE J___9/2/25]

[8] The criticised passage went thus “Adopting that approach, which is really no more than an application of the normal principles of *restitutio in integrum* and the reasonable foreseeability of the damage sustained, which govern the assessment of damages, I am unpersuaded that on the facts pleaded the plaintiff has laid the foundation necessary to express its claim for delictual damages in United States dollars”. *Makwindi Oil Procurement (Pvt) Ltd v National Oil Co of Zimbabwe (Pvt) Ltd* 1989 (3) SA 191 (ZS) at page 199.